

considered you're willing to put in the hard yards of making sacrifices elsewhere (public transport/ cooking at home etc.)

This idea of forecasting the savings numbers he'd need and breaking it down to a monthly target, made his goal achievable.

As you give yourself a head start on the saving process this week, we'll look at automating the entire cycle in week 4.

Bringing it together

1) Create your Conscious spending plan based on your version of Rich Life

- Your thoughts about finance will move over from past-tense to future. When the salary gets deposited, have a mental map of where you want the money to go.
- After having a conscious spending plan, you're sure that money is going to places that make you happy and you no-longer have to worry if you're overspending.

2) Establish the cash flow process within the 4-buckets

- Look up the credit card statements or do a back-of-napkin calculation of your monthly expenditures.
- Make pointers on where you're spending too much and how you could save more.
- Make sure you follow the cash-flow method of **Salary = Fixed costs - Investments - Savings - Guilt Free Spend.**

3) Play around with your Conscious Spending Plan

- If you notice that you're spending too much and would like to save more, make changes in gradual sustainable steps.
- Start saving small and improve gradually. Always keep a goal in mind. Having a goal with emotional reasons to save is easier to sustain and helps keep discipline.
- When you end up short on the saving or investment bucket, fixed costs have to be cut down first. Clamp down on rent, call the customer service for bills - TV, internet and cellular services.
- Proceed over to cutting down on guilt free spend - make small and slow reductions in expenditure. Gradually improve over-time.